

Wolaita Sodo University
College of Business and Economics
Department of Economics
Model Examination for Exit Exam

Based on the following information, answer the questions 1, 2 and 3

Suppose a man currently has 38,000 birr and he is considering taking a new but risky job that will increase his wealth to 50,000 birr with likelihood of 0.6 if it succeeds but will reduce his wealth to 20,000 birr with probability of 0.4 if it fails. The utility level associated with 38,000 birr is 20 and the utility level associated with an income of 20,000 birr and 50,000 birr is 15 and 30, respectively.

1. What is the expected utility of the new job?
A. 22.5 B. 26 C. 30 D. 24

Answer: D

2. What will be the type of risk?
- A. Risk Aversion C. Risk Neutral
B. Risk Loving D. Risk Premium

Answer: B

3. Expected income of the new job is
- A. 45,200 B. 23,200 C. 38,000 D. 35,000

Answer: C

4. Among the following one is not the assumption of law of diminishing marginal utility
- A. The consumer taste remain unchanged
 - B. The consumer consumes identical or homogenous product
 - C. There is no time gap in consumption of the good
 - D. The consumer preference will be changed

Answer: A

5. Where a consumer reaches his/her equilibrium according to ordinal utility approach?
- A. When the price of single good is equal to its marginal utility
 - B. When the consumer indifference curve is tangent to the budget line
 - C. At a point where marginal utility of one good divided by its price is equal to marginal utility of another good over its price.
 - D. All

Answer: B

6. Why indifference curves do not intersect with each other?
- A. Because they are at same satisfaction level
 - B. Their combination of goods are different but they offer equal utility
 - C. Since they are different give different utility to the consumer
 - D. Because of assumption of constant utility along ICs

Answer: C

7. What happen on budget line if the price of good/s changed?
- A. The budget line shift to the right when the price of the goods grow up
 - B. When the price of one good decreases, the budget line shifts to the right on the side of the good
 - C. The slope of budget line remain the same if the change in price is not proportional
 - D. The intercept of the budget line remain the same even the price of the goods changed

Answer: B

8. What will not be the effect of price change on consumer equilibrium if he/she allocates the budget M to purchase two goods x and y with their respective prices?
- A. Income-consumption curve
 - B. Substitution effect
 - C. Income effect
 - D. A and C

Answer: A

9. If $Q = 3L + 6K$, which of the following is true?
- A. MRTS is a constant equal to $\frac{1}{2}$ if L is on the horizontal axis
 - B. The production function displays constant returns to scale
 - C. K and L are perfect substitutes in production
 - D. All

Answer: D

10. If marginal cost is below average cost,
- A. The slope of average cost will be negative
 - B. Average variable cost increase
 - C. Average cost increase
 - D. Average cost reaches its minimum

Answer: A

11. If average fixed cost and total cost is 20 and 400, respectively, and then output produced is 10 units, what will be the average variable cost of the firm?
- A. 200
 - B. 600
 - C. 20
 - D. 2

Answer: C

12. In a short-run production process, the slope of marginal cost curve is positive and the average variable cost is declining as output is rising. Thus,
- A. average fixed cost is constant
 - B. marginal cost is below average variable cost
 - C. marginal cost is above average variable cost
 - D. marginal cost is below average fixed cost

Answer: B

13. For a firm operating in monopoly market, equilibrium is attained at

- A. Its market price is not exceeds marginal cost
- B. Marginal revenue is equal to price
- C. Average cost is the same with its market price
- D. Marginal cost is exactly equal to marginal revenue

Answer: D

14. When long run average cost is declining we say that the firm is experiencing,

- A. Economies of scale
- C. Diseconomies of scale
- B. Constant return to scale
- D. Decreasing return to scale

Answer: A

Based on the following the information, answer question number 15 & 16

Consider the short run cost function of a firm is given by: $AC = 1/3Q^2 - 5Q + 9$, where AC & Q are average cost and output, respectively.

15. What is the average fixed cost of the firm?

- A. 3
- B. 9
- C. 0
- D. $9/Q$

Answer: C

16. At what output level the firm minimizes its marginal cost?

- A. 9
- B. 1
- C. 8
- D. 10

Answer: A

17. Under perfectly competitive market, the firm is said to be in equilibrium when

- A. Price is greater than marginal cost
- B. Marginal cost is equal to marginal revenue and given marginal cost is decreasing
- C. The slope of total revenue curve is equal to market price
- D. The distance between the total revenue and total curves is maxima when MR exceeds MC.

Answer: C

18. When firm is producing in stage I,

- A. MP is greater than AP
- C. Slope of AP curve is negative
- B. The fixed input is over utilized
- D. A and B

Answer: A

19. Considering short run production function, when MP rises

- A. AP equals MP
- C. TP declines
- B. AP also rises
- D. TP reaches maximum

Answer: B

20. A firm's marginal product of labor is 10 and its marginal product of capital is 40. If the firm adds two unit of capital, but does not want its output quantity to change, the firm should

- A. Reduce its use of labor by 8 units.
- C. Reduce its use of labor by 2 units.
- B. Maintain the same level of labor utilization.
- D. Also increase labor by 2 units.

Answer: A

21. Which one the following statement is **False** about the Classical school of thought?

- A. All economic agents are rational and maximize
- B. Expectations are unstable
- C. All markets are perfectly competitive and prices are perfectly flexible
- D. Trade only takes place when market clearing prices have been established

Answer: B

22. When the expenditure approach is used to measure GDP, the major components of GDP are

- A. Consumption, investment, indirect business taxes, and depreciation.
- B. Employee compensation, rents, interest, and self-employment income.
- C. Employee compensation, corporate profits, and depreciation.
- D. Consumption, investment, government consumption, and net exports.

Answer: D

23. If $MPC = 0.75$ (and there are no income taxes) when G increases by 100, then the IS curve for any given interest rate shifts to the right by:

- A. 100
- B. 200
- C. 300
- D. 400

Answer: D

24. Which of the following will occur if there is an increase in taxes?

- A. The IS curve shifts and the economy moves along the LM curve.
- B. Both the IS and LM curves shift.
- C. Output will change causing a change in money demand and a shift of the LM curve.
- D. Neither the IS nor the LM curve shifts.

Answer: A

25. The introduction of a stylish new line of Toyotas, which makes some consumers prefer foreign cars over domestic cars, will, according to the Mundell-Fleming model with fixed exchange rates, lead to:

- A. A fall in income and net exports.
- B. No change in income or net exports.
- C. A fall in income but no change in net exports.
- D. No change in income but a fall in net exports.

Answer: A

26. In the Mundell-Fleming model with a floating exchange rate, what happens to aggregate income, the exchange rate, and the trade balance respectively when the world interest rate rises?

- A. Increases; increases and falls
- B. Falls; falls; and falls
- C. Increases; increases; and increases
- D. Increases; falls; and increases

Answer: C

27. Why aggregate supply is upward sloping?

- A. Due to the negative relationship between real wage and output level
- B. Due to the positive relationship between relative price and output
- C. Due to the positive relationship between price and output
- D. All of the above

Answer: C

28. All of the following are correct about investment, **except**,

- A. It is the most volatile component of countries' income
- B. It denotes an addition to the existing stock of capital and of goods
- C. It necessarily denotes the stock of capital at a point in time
- D. Much of fluctuation in national income is attributable to investment fluctuation

Answer: C

29. Choose the **correct** one about the Irving Fisher consumption model

- A. The value of current income is less than future income.
- B. The price of second period consumption is more than first period consumption.
- C. For consumers facing binding borrowing constraint, second period income is more important than first period income.
- D. It assumes consumers as rational and forward looking.

Answer: D

30. Which one of the following **is/are true** about the rental price of capital?

- A. The lower the stock of capital, the lower the real rental price of capital.
- B. The greater the amount of labour employed, the greater the real rental price of capital.
- C. The better the technology, the lower the real rental price of capital.
- D. All of the above are true.

Answer: B

31. The Keynesian theory of money demand emphasizes the importance of

- A. a constant velocity
- B. irrational behavior on the part of some economic agents
- C. interest rates on the demand for money
- D. expectations

Answer: D

32. One of the following is **True** about Neoclassical labour market character?

- A. Wage rigidity

- B. Efficiency wages
- C. Homogeneity of workers
- D. Bargaining power of labor unions

Answer: C

33. The Solow residual is?

- A. The difference between the rate of growth of productivity and the rate of growth of inputs.
- B. The difference between the rate of growth of output and the rate of growth of savings.
- C. The difference between the rate of growth of output and the rate of growth of inputs.
- D. The difference between the golden rule level of consumption and the steady state level of consumption.

Answer: A

34. Which one of the following policy aims to redirect productive resources from non-productive sectors to productive sectors or investments?

- A. Expenditure-reducing policies
- B. Expenditure-switching policies
- C. Institutional policy reforms
- D. Stabilization policies

Answer: B

35. Which one of the following is **true** about the advocates of active macroeconomic policy?

- A. fiscal and monetary policy can stabilize the economy
- B. inept policy increases volatility in output & employment
- C. a commitment to a fixed policy rule is necessary to solve the problem of time inconsistency
- D. A & C are correct answers

Answer: A

36. Which of the following points doesn't explain why nations trade with each other?

- A. Differences in factor endowments
- B. Gains from exchange of goods and services
- C. Differences in income conditions
- D. Differences in production possibilities

Answer: C

37. According to ____, international trade would bring production and consumption gains, when the two countries enter into trade with each other even when one of them has the absolute disadvantage in both lines of production.

- A. Adam Smith
- B. David Ricardo
- C. Mercantilists

D. The opportunity cost theory

Answer: B

38. ___ states that a country has a comparative advantage in the production and exports of that commodity which uses more intensively the country's relatively abundant factor of production.

- A. Absolute advantage theory
- B. Comparative advantage theory
- C. Heckscher - Ohlin theory
- D. Leontief's paradox theory

Answer: C

39. ___ refers to those benefits, which promote economic growth and economic development of the participating countries.

- A. Dynamic gains
- B. Static gains
- C. Production gains
- D. Consumption gains

Answer: A

40. Which of the following is not among the ways in which foreign trade promotes economic development?

- A. Allows the import capital goods in exchange for their exports
- B. Allows the of import technical know-how, technical skills, managerial talent and entrepreneurship
- C. Allows the movement of capital from developed countries to developing countries
- D. Allows the accumulation wealth at the expense of other countries

Answer: D

41. The arguments for against free trade or protection is reflected in all arguments, except___

- A. Employment Argument
- B. Defense Argument
- C. Patriotism Argument
- D. Sustainability Argument

Answer: D

42. Much of the recent economic history of some rapidly developing underdeveloped countries can be written in terms of industrialization working its way from__

- A. Top downward
- B. Down to top
- C. Production of intermediate goods
- D. Exporting all products

Answer: A

43. Which of the following was not among the principles of the General Agreement on Trade

and Tariff?

- A. Non-Discrimination
- B. Reciprocity
- C. Transparency
- D. Accountability

Answer: D

44. From among the forms of economic integration, ___ allows no tariffs or other barriers on trade among members, and in addition it harmonizes trade policies toward the rest of the world.

- A. Free trade area
- B. Common market
- C. Customs union
- D. Economic union

Answer: C

45. _____ is the organizational framework within which individuals, business firms, governments, and banks buy and sell foreign currencies or foreign exchange and other debt instruments.

- A. The trade liberalization
- B. The foreign exchange market
- C. The globalization
- D. The free trade

Answer: B

46. ___ is the relative price of the currencies of two countries with no reference made to what this means in terms of the purchasing power of goods or services.

- A. Real exchange rate
- B. Flexible exchange rate
- C. Nominal exchange rate
- D. Fixed exchange rate

Answer: C

47. The type of a purchasing power parity (PPP) theory which says the change in the exchange rate over a period of time should be proportional to the relative change in the price levels in the two nations over the same time period is__

- A. Relative PPP
- B. Absolute PPP
- C. Price index PPP
- D. Monetary approach PPP

Answer: A

48. ___ is a summary statement in which in principle all the transactions of the residents of a nation with the residents of all other nations are recorded during a particular period of time, usually a calendar year.

- A. National GDP

- B. National income accounting
- C. The balance of payments
- D. Net National income

Answer: C

49. A devaluation of domestic currency could lead to one of the following, except___

- A. Causes an increase in the general prices
- B. Causes an increase in the export prices
- C. Causes an increase in the import prices
- D. Decrease in the real value of wealth held in monetary form

Answer: B

50. The ____ combined with ____ will control inflation and improve the current account, so that the internal and external balance is met.

- A. Deflation; devaluation
- B. Deflation; revaluation
- C. Inflation; devaluation
- D. Inflation; revaluation

Answer: A

51. An institution that was sought to build a framework for international economic cooperation and avoid repeating the competitive currency devaluations that contributed to the Great Depression of the 1930s at Bretton Woods Conference is___

- A. The World Bank
- B. World Trade Organization
- C. The International Monetary Fund
- D. General Agreement on Trade and Tariff

Answer: C

52. Which one of the following are not potential benefits and opportunities of globalization?

- A. Exciting business opportunities as it expands markets
- B. The division of labor thereby efficiency gains from trade
- C. More rapid growth of knowledge and innovation
- D. International dominance of the richest countries may be expanded

Answer: D

53. A channeling investment funds to uses yielding the highest rate of return allows increases in specialization and the division of labor.

- A. Foreign aid loss
- B. Allocating credit efficiency
- C. Matching savers and investors
- D. Increasing asset liquidity

Answer: B

54. The following are odds about term of trade improvement except.

- A. Export price increasing relative to import price
- B. Export price decreasing relative to import price
- C. Import price increasing relative to export price
- D. Export price the same to import price

Answer: A

55. From the following one is true about development economics?

- A. It deals with development problems of developing countries.
- B. It is about the causes and cures of mass poverty in developed nations.
- C. Economic development is possible without growth.
- D. Range of choice expands through economic development.

Answer: A

56. Among the Harrods growth rates one is true about warranted growth rate?

- A. Demand for investment is given by the deceleration principle
- B. Producers have produced neither more nor less than the right amount
- C. Ratio of extra capital accumulation or investment to the growth of output
- D. Pre-condition for economic development

Answer: B

57. In the history of world's economic developments one is principals' factors of development?

- A. Capital accumulation
- B. Organization
- C. Technology
- D. Land

Answer: D

58. From given alternatives one is not necessary conditions for take-off defined by Rostow?

- A. A rise in the rate of productive investment.
- B. Development of substantial manufacturing sector.
- C. Institutional framework in fostering economic development.
- D. Limited production and backward technology.

Answer: D

59. Among the common features of the developing countries one often play large role in the success or failure of development efforts.

- A. Nature of its industrial structure
- B. Ethnicity and religion
- C. Degree of dependency
- D. Public and private ownership and use of resources

Answer: B

60. One of the following is final and very convenient short hand summary measure of the relative degree of income inequality in a country?

- A. Lorenz curve
- B. Purchasing purity curve
- C. Gross domestic product
- D. Gini coefficient

Answer: D

61. *The followings are reason for the sudden change in overall population trends whether up or down, except?*

- A. Famine
- B. Disease
- C. War
- D. Climate

Answer: D

62. According to Nobel laureates Simon Kuznets all are contribution of agriculture to economic development except?

- A. Product contribution
- B. Foreign-exchange contribution
- C. Market contribution
- D. Exchange rate contribution

Answer: D

63. Economists define it as any flow of capital to developing country with objective of

noncommercial from view of donor is,

- A. Nonprofit fund
- B. Foreign aid
- C. International trade relation
- D. Commodity aid

Answer: B

64. The term economists often use for education, health, and other human capacities that can raise productivity when increased.

- A. Natural resources
- B. Human capital
- C. Capital accumulation
- D. Innovation

Answer: B

65. Among the following, one favors same groups of people in society and further increase economic inequality?

- A. Social process
- B. Personal preferences
- C. Physical attributes
- D. Public policy

Answer: D

66. Which one of the following statement is **False** about optimization of non-linear programming according to the Kuhn – Tucker?

- A. The first order condition should be similar like classical programming.
- B. We optimize the objective function with non-negativity constraints.
- C. For maximization case, the second order derivative of a given function must be positive.

- D. Second order condition for minimization should be greater than or equals to zero.

Answer: C

67. For the function, what is the profit maximizing level of output (Q) and maximum amount of profit respectively?

- A. 80 and 740
- B. 8 and 740
- C. 740 and 8
- D. None

Answer: B

68. Suppose the firm faces a demand function for its product and the firm's costs of production and marketing are. depending up on this information. Which one of the following outputs maximizes the firm's total revenue and what is the value of price that maximizes the firm's total revenue respectively?

- A. 4 and 16
- B. 16 and 4
- C. 4 and 24
- D. 8 and 16.

Answer: B

69. A consumer's Utility function is given by: $U(x, y)$ = if the consumers income is Birr 500 and the price of x is Birr 4 per unit and the price of y is Birr 8 per units. What is the utility maximizing level of X and Y?

- A. (62.5, 31.25) B. (31, 62) C. (31.5, 62.5) D. (30, 60)

Answer: C

70. Based on above question #70, what is the $MRTS_{xy}$ at equilibrium level?

- A. B. 1 C. -1 D.

Answer: D

71. Based on above question # 70, what is the maximum utility level of the utility function?

- A. 820.8 B. 3888 C. 887.8 D. 380.5

Answer: C

72. Given the demand and supply function for particular product $Q_d = \alpha_1 - \beta_1 P$ where $Q_s = -\alpha_2 + \beta_2 P$

$\alpha_1, \beta_1, \beta_2, \alpha_2$ are parameter of the model. Given the above information what will be equilibrium quantity (q) is_____

- A. $\frac{\beta_2 + \alpha_1}{\beta_1 + \beta_2}$ D. $\frac{\beta_2}{\beta_1 + \beta_2}$
- B. $\frac{(\alpha_1 \beta_2 - \alpha_2 \beta_1)}{(\beta_1 + \beta_2)}$
- C. $\frac{-(\alpha_2 \beta_2 + \alpha_1 \beta_1)}{(\beta_1 + \beta_2)^2}$

Answer: C

73. Given the demand and supply function for the particular product $Q_d = \alpha_1 - \beta_1 P$ where $Q_s = -\alpha_2 + \beta_2 P$

, $\beta_1, \beta_2, \alpha_2$ are parameter of the model. What is the effect of change in β_2 upon equilibrium price?

- A. $\frac{1}{\beta_1 + \beta_2}$ B. $\frac{-(\alpha_1 + \alpha_2)}{(\beta_1 + \beta_2)^2}$ C. $\frac{\beta_2}{\beta_1 + \beta_2}$ D.
- $\frac{-(\alpha_2 \beta_2 + \alpha_1 \beta_1)}{(\beta_1 + \beta_2)^2}$

Answer: B

To answer questions 75- 76 using the following given the following national income model,

$$Y = C + I^0 + G^0 \quad C = 50 + 0.8(Y - T) \quad T = 40 + 0.5Y \quad I_0 = 10 \quad G_0 = 15$$

74. According to above information change equilibrium national income ($\bar{Y}$) will be_____?

- A. 71.66
- B. 88.33
- C. 46.66
- D. 138.33

Answer: C

75. According to above information change equilibrium consumption ($\bar{C}$) will be_____?

- A. 64.65
- B. 90.52
- C. 115.5
- D. 45.83

Answer: D

76. What is the first derivative of function ?

- A.
- B.
- C. 4
- D.

Answer: D

77. Suppose total revenue for a commodity is function of commodity sold and given by. What is the marginal revenue when 50 units are sold?

- A. 386 unit
- B. 302 unit
- C. 398 unit
- D. 396 unit

Answer: D

78. Which one of the following has no unique solution ?

- A. $\begin{matrix} = 3 + 2 \\ = 4 + 4 \\ = 4 + 4 \\ = 5 + 4 \end{matrix}$
- B. $\begin{matrix} = 3 + 2 \\ = 3 + 2 \end{matrix}$
- C. $\begin{matrix} = 3 + 2 \\ = 3 + 2 \end{matrix}$
- D. None

Answer: B

79. Given the following optimization function

$$L = \dots + 4 \dots + 2$$

What is the optimum value of , and that maximize the objective function respectively?

- A. (1, 14 and 9)
- B. (0, 51 and 2)
- C. (0, 0 and 0)
- D. (2, 7 and 0)

Answer: C

80. Based on the above question number # 15 what is the value of Hessian determinants (H1, H2 and H3). Respectively

- A. (31, 4 and 54)
- B. (54, 4 and 32)
- C. (4, 31 and 54)
- D. (45, 23 and 14)

Answer: C

81. What is of function ?

- A.
- B.
- C.
- D.

Answer: D

82. If is defined by then what is

- A. 2
- B. -2
- C.
- D.

Answer: B

83. What is the rate of change function

- A.
- B.
- C.)
- D.)

Answer: A

84. Consider the following ECM Model: Then which of the following statement is true about the adjustment process to the equilibrium position of the model?

- A) If the equilibrium error term (is positive, is above its equilibrium value of ()).
- B) If the equilibrium error term (is negative, is below its equilibrium value of ()).
- C) The coefficient of equilibrium error term (decides how quickly the equilibrium is restored.
- D) All are true

Answer: D

85. Which of the following statement is true?

- A) Augmented Dickey Fuller(ADF) test is a procedure used to determine the existence of long run relationship among the variables in the model.
- B) In the procedure of Dickey and Fuller test, the serial correlation could be avoided by incorporating the lagged differenced regressand as regressor.
- C) Engle and Granger test is used to determine the assertion of causality and its direction of movement among the economic variables
- D) Phillips and Perron test is used to judge the existence cointegration among the economic variable included in the model

Answer: C

86. When the assumption of zero conditional mean of error term is violated in the OLS regression method, as a result which of the following would happen on the OLS estimator

- A)
- B)
- C)
- D) All

Answer: B

87. Sum square of error (RSS) can never be

- A) Larger than sum square of total (SST)

- B) Smaller than SST
- C) Equal to sum square of regression (ESS)
- D) Equal to one

Answer: A

88. _____ is the measure of the degree of linear association between two random variables.

- A) Regression analysis
- B) Coefficient of determination
- C) Correlation coefficient
- D) Regression coefficient

Answer: C

89. Which of the following is not the importance of econometrics in the field of economics and other social sciences?

- A) Verifying theory
- B) Estimating behavioral relationship between economic/other variables
- C) Establishing empirical content to the
- D) Describing the structure of organization and its function

Answer: D

90. Which of the following model assumes that the entity's error term is not correlated with the explanatory variables allowing time - invariant variables to act as explanatory variables?

- A) Maximum Likelihood estimation
- B) Fixed effects model
- C) Simultaneous equation models
- D) Random effects model

Answer: B

91. In the classical linear regression, which assumption of error term must be satisfied?

- A) Exogeneity of regressors
- B) Error term is homoscedastic
- C) Error terms should be uncorrelated

D) All of the above

Answer: D

92. Even though, the multiple coefficient of determination(R^2) is a measure of goodness of fit of model, one of the following is its weakness

A) It will always increase as more variables are added to the model when these added variables have no economic justification

B) It never increases when another independent variable is added to a model

C) It is a good measure to decide whether to add/remove variable to/from the model

D) All of the above are answers

Answer: A

93. A Regression model containing both indicator and quantitative explanatory variables is called.

A) Chi-square analysis

B) Correlation analysis

C) Analysis of variance

D) Analysis of covariance

Answer: D

94. According to Gauss Markov Theorem, which of the following assumption is not standard property of OLS estimators

- A) Estimators should be inconsistent
- B) Estimators should be unbiased
- C) Estimators should be linear
- D) Estimators should possess minimum variance

Answer: A

95. Which of the following is **correct** about the behavior of spurious regression?

- A) It is characterized by high R^2 value and many of the coefficients will have statistically significantly different from zero.
- B) The regression is suggested by the Durbin–Watson value of around two.
- C) The R^2 and the t-statistic value obtained from such a spurious regression can help to make correct prediction.
- D) The t and F statistics can be used for testing hypotheses about the parameters and adequacy of model.

Answer: B

96. Which of the following is not the symptom of the existence of multicollinearity?

- A) High *R-Square* value with many estimators having significant t-ratios.
- B) High pairwise correlations among explanatory variables
- C) High Partial correlation coefficients
- D) High *R-Square* value with few estimators having significant t-ratios.

Answer: A

97. If Autocorrelation is present in a regression method but ignored, the OLS estimators will be:

- A) Biased and inconsistent
- B) Not normally distributed in large samples

- C) Inefficient
- D) All of the above

Answer: C

98. Which of the following is categorical demographic variable

- A) Age
- B) Income
- C) Marital status
- D) Household expenditure

Answer: C

99. When more than one numerical value can be obtained for some of the parameters of the structural equations from the reduced parameters, then the equation or the model as a whole is said to be_____.

- A) Over identified
- B) Just or exactly identified
- C) Under identified
- D) Unidentified

Answer: A

100. Which of the following is not correct about Random and Fixed effect model?

- A) Fixed effect model is assumed homoscedastic while Random effect model is assumed hetroscedastic.
- B) Fixed effect model has varying intercepts across groups and/or times while Random effect model has constant intercept.
- C) Fixed effect model is assumed hetroscedastic while Random effect model is assumed homoscedastic.
- D) None of the above

Answer: C